

Unit 3 – Section 5: Assessing Competitiveness

Quick-Fire & IAL-Style Teacher Pack

Topic 1: Income Statement (Profit & Loss Account)

Quick-Fire Questions

1. Define income statement.
2. Identify two main sections of an income statement.
3. Define gross profit and net profit.
4. Explain one difference between operating profit and profit for the year.
5. Explain what is meant by cost of sales.
6. Identify one reason why profit might fall even if sales increase.
7. Explain one benefit of analysing an income statement.
8. Explain one limitation of income statements for decision-making.

IAL-Style Exam Tasks

- Explain one benefit to a business such as Tesco of analysing its income statement. [4]
- Evaluate whether income statements provide an accurate measure of business success. [20]

Plenary Question

To what extent can profitability data alone reflect business performance?

Topic 2: Financial Position (Balance Sheet)

Quick-Fire Questions

9. Define a statement of financial position (balance sheet).
10. Explain what is meant by current assets and non-current assets.
11. Explain one example of a current liability.
12. Define working capital.
13. Explain what is meant by capital employed.
14. Identify one reason why liquidity is important for a business.
15. Explain one limitation of balance sheets as a performance indicator.
16. Explain how a business can improve its liquidity position.

IAL-Style Exam Tasks

- Explain one benefit of monitoring liquidity for a business such as Amazon. [4]
- Discuss whether a balance sheet provides sufficient information to assess a firm's financial health. [12]

Plenary Question

Why might two businesses with similar balance sheets have very different financial performance?

Topic 3: Interpretation of Financial Statements

Quick-Fire Questions

17. Explain what is meant by financial statement analysis.
18. Define the term comparability in accounting.
19. Explain why year-on-year comparisons are important.
20. Identify one benefit of using trend analysis.
21. Explain one external factor that may affect interpretation of accounts.
22. Explain why non-financial data may also be important when analysing performance.
23. Define horizontal and vertical analysis.

IAL-Style Exam Tasks

- Explain one reason why comparing financial statements over time is useful for managers. [4]
- Assess whether non-financial information is as important as financial data when evaluating business performance. [8]

Plenary Question

Is it possible to make fair comparisons between companies based only on published financial data?

Topic 4: Ratio Analysis

Quick-Fire Questions

24. Define ratio analysis.
25. List three main categories of financial ratios.
26. Explain the formula for gross profit margin.
27. Explain the formula for current ratio.
28. Define the term gearing.
29. Explain one benefit of using financial ratios.
30. Explain one limitation of ratio analysis.
31. Identify one reason why ratios must be compared over time or against industry averages.

IAL-Style Exam Tasks

- Calculate and interpret the gross profit margin for a business given data. [4]
- Evaluate whether ratio analysis provides reliable evidence for investment decisions. [20]

Plenary Question

Why might investors interpret the same set of ratios differently?

Topic 5: Human Resource Data & Ratios

Quick-Fire Questions

32. Define labour turnover.
33. Define labour productivity.
34. Explain the formula for absenteeism rate.
35. Explain one factor that may cause high labour turnover.
36. Identify one benefit of measuring HR ratios.
37. Explain one limitation of relying solely on HR data for decision-making.
38. Explain how HR data links to overall business performance.

IAL-Style Exam Tasks

- Explain one reason why monitoring labour productivity is important for a business such as Greggs. [4]
- Discuss whether human resource data provides better insight into performance than financial data. [12]

Plenary Question

To what extent do people-based measures offer a more complete view of competitiveness than financial data?